STRICTLY PRIVATE & CONFIDENTIAL — SUBJECT TO LEGAL PRIVILEGE

LEGAL DUE DILIGENCE REPORT

Project Polaris

Proposed acquisition of Larkfield Spa & Wellness Limited

Prepared for: Kingsford Group Limited

Prepared by: Whitfield Carter LLP

Date: 24 September 2025 | Ref: SW/JO/WC-00132

1. Introduction and scope

This report sets out the findings of the legal due diligence exercise undertaken by Whitfield Carter LLP in connection with the proposed acquisition by Kingsford Group Limited (the "Buyer") of the entire issued share capital of Larkfield Spa & Wellness Limited (the "Company"). The review covered the period to 19 September 2025 and was based on the documents made available in the data room, replies to our legal due diligence questionnaire, and public searches. This report is subject to the limitations and assumptions set out in section 9 and should be read with the disclosure letter.

The Company operates three premium spa and wellness sites (Harrogate, York and Leeds) together with an associated membership and treatment business. Unless otherwise stated, monetary thresholds for materiality have been agreed at £25,000 for individual items.

2. Corporate and constitutional

The Company is a private company limited by shares incorporated in England and Wales (number 09214477) on 14 March 2015. The issued share capital is 1,000,000 ordinary shares of £0.01 each, held as set out below. The statutory registers were available and appear to be in order. The Company has filed its annual confirmation statements and accounts on time. We identified no shareholder agreement; the articles are in substantially the model-articles form with bespoke transfer provisions.

Shareholder	Shares	%
Helena Larkfield	480,000	48.0%
Marcus Larkfield	270,000	27.0%
Larkfield Family Trust	90,000	9.0%
Camberwell Growth Capital LLP	140,000	14.0%
Management (EMI, exercised)	20,000	2.0%
Total	1,000,000	100.0%

Key point: the EMI options were exercised on 2 September 2025; we have reviewed the exercise notices and the updated register of members and are satisfied the resulting 20,000 shares are validly issued and form part of the Shares being acquired.

3. Property

The Company occupies its three operating sites under leasehold interests. We summarise the principal terms and our findings below.

Site	Tenure	Term / expiry	Findings
Harrogate (head office & flagship spa)	Leasehold	15 yrs from 2017; expiry 2032	Clean. Rent review 2027. Inside 1954 Act.
York	Leasehold	10 yrs from 2020; expiry 2030	Historic improvement notice (pool records) complied with and
Leeds (Calder Wharf studio)	Leasehold	10 yrs from 2019; expiry 2029	Outstanding licence to alter for 2023 fit-out; landlord consent

4. Material contracts

The Company's contracts are generally short-form and terminable on reasonable notice. Two items warrant attention: (a) the linen and laundry supply agreement with Pemberton Textiles Ltd auto-renews for 24 months unless six months' notice is given (next break window June 2026); and (b) the membership terms and conditions contain an automatic renewal and price-escalation clause which should be reviewed for consumer-law compliance. No change-of-control consents are required under the material contracts

reviewed, save for the equipment finance arrangement with Pennine Asset Finance (clause 11.3), for which a waiver should be obtained at or before completion.

5. Employment

The Company employs 142 staff (98 full-time equivalent). Contracts are on standard terms. There are no collective agreements and no recognised union. Two senior employees were promoted in September 2025 above the £50,000 threshold and were omitted from the original schedule; updated particulars have been provided. There is one live grievance (a flexible-working request) at an early stage. Pension provision is via auto-enrolment with NEST; contributions are up to date.

6. Litigation, compliance and insurance

There is one small-claims personal-injury claim (a member's slip at Harrogate, valued at c. £4,800) which is covered by the Company's public-liability insurance. We are not aware of any other litigation, threatened or pending. The Company holds the licences and consents necessary to operate its pools and treatment facilities; pool water-treatment record-keeping was the subject of a local-authority improvement notice in March 2025 which was complied with. Insurance cover (property, public and employer's liability, business interruption) appears adequate and is in force.

7. Key risks and recommendations

Risk	Severity	Recommendation
Leeds licence to alter outstanding	Medium	Obtain landlord consent before completion or take a specific indemnity in t
Pemberton Textiles auto-renewal	Low	Serve break notice in time; not a completion blocker.
Pennine Asset Finance change-of-control	Medium	Obtain lender waiver/consent as a completion deliverable.
Membership T&Cs consumer compliance	Low	Post-completion review and refresh of standard terms.
Omitted senior-employee particulars	Low	Reflected in disclosure letter; no further action.

8. Tax

A 2024 VAT inspection resulted in a minor adjustment of £6,200, which has been paid. There are no other outstanding tax disputes. The founder Warrantors will give a tax covenant in the form of Schedule 5 to the SPA, with a survival period to the sixth/seventh anniversary of completion (under negotiation). We recommend that the EMI exercise and its PAYE/NIC treatment be confirmed with the Company's accountants before completion.

9. Assumptions and limitations

This report is addressed to the Buyer for the sole purpose of the proposed acquisition and may not be relied on by any other person or for any other purpose. It is based on the documents and information made available to us as at 19 September 2025; we have assumed the authenticity and completeness of those documents and the accuracy of the replies to our enquiries. Our review is limited to English law. This report is subject to legal professional privilege and should not be disclosed to any third party without our prior written consent.